Furthermore, two of the four authors of Asness et al. (2014), Israel and Moskowitz, are the same authors who showed in their own 2013 paper that value, as it is commonly used, only offers a historic premium when applied to very small stocks, which are generally unusable by institutional investors.

Perhaps we can find other ways to improve upon individual stock momentum so that it becomes more useful. There have been dozens of research papers exploring possible enhancements to relative strength momentum. I will touch on four that look promising for individual stocks. We may also be able to apply two of these enhancements to market indexes or to assets other than stocks. Those who want to explore the potential enhancements in more detail can download the referenced research papers while keeping in mind the caveats given previously about data mining and model overspecification.

PROXIMITY TO 52-WEEK HIGHS

In the 1950s, both Dreyfus and Darvas extolled the virtue of investing in stocks that were making new highs. In their 2004 paper "The 52-Week High and Momentum Investing," George and Hwang showed that the 52-week high explains a large portion of the profits from momentum investing. Using U.S. stocks from 1963 through 2001, the authors calculated the ratio of the current stock price to the 52-week stock price high. They then demonstrated that profits based on nearness to the 52-week high plus the highest returns over the past six months were superior to profits based solely on the highest returns over the past six months. Nearness to the 52-week high dominated the forecasting power of past returns. The authors postulated that stocks near their 52-week high are those for which good news has recently arrived. If this is really the reason why being near a 52-week high is effective, then nearness to a 52-week high is likely to be more effective with individual stocks than with stock indexes or asset classes that may not be as sensitive to news events.